

POST-MERGE ANALYSIS

Ultra Sound Money

Ethereum's Post-Merge Supply Dynamics and Monetary Premium

SUPPLY

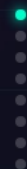
121.6METH

PRICE

\$2,243

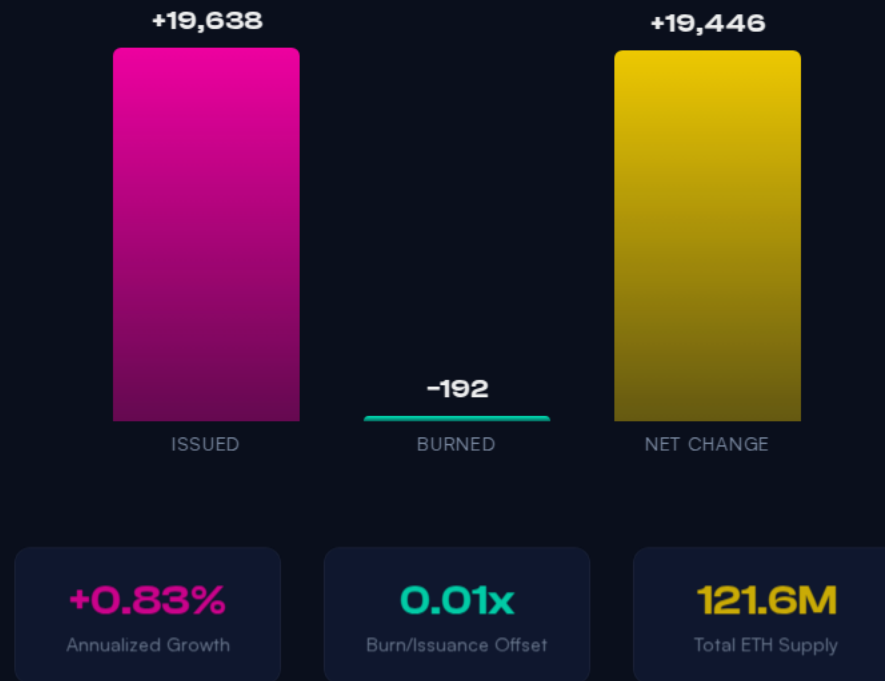
BASE GAS

0.1Gwei



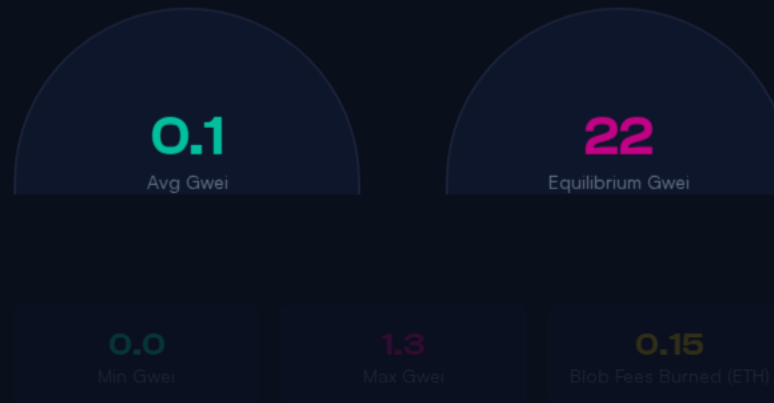
ETH Supply Growing at +0.83%/Year

Only 192 ETH burned in 7 days vs 19,638 ETH issued — a 0.01x offset ratio



Base Gas at Historic Lows

0.1 Gwei average suppresses EIP-1559 fee burn — far below the 22 Gwei equilibrium target



DeFi and ETH Transfers Account for 85% of Weekly Burn

Burn categories and leaderboard for the trailing 7-day period

DeFi	31
ETH Transfers	22
Misc	4
NFTs	3
Contracts	2
L2 / MEV / Blobs	0

Top contracts: **ETH transfers 21.74 ETH**, Tether USDT 13.55 ETH | Recent blocks show 0.00—0.01 ETH burn per block



38.9M ETH Staked at 2.7% Issuance Rewards

Minimal tips and MEV — validator rewards driven almost entirely by protocol issuance

Total Staked

38.9M ETH

~32% of total supply locked in consensus

Scarcity Engine

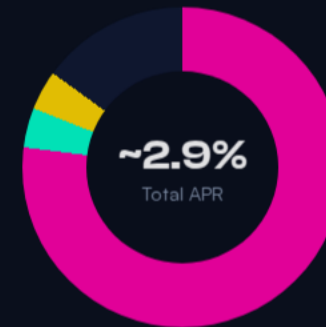
9.1M ETH

Locked in staking contracts, avg 10.7 years

PoS Issuance

~2,800 ETH/day

Validator rewards from protocol issuance



■ Issuance 2.7% ■ Tips 0.1% ■ MEV 0.1%

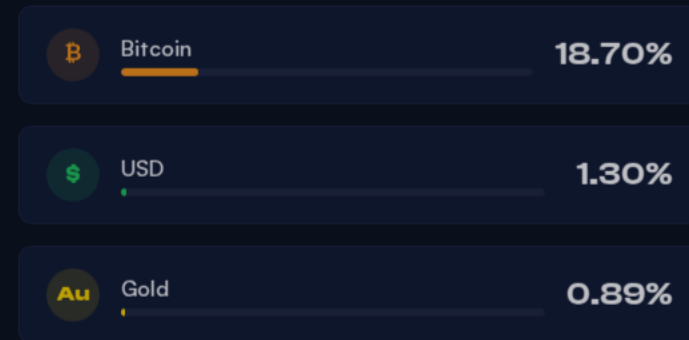
Long-Term Equilibrium at 125.7M ETH

200-year supply projection converging to equilibrium — issuance and burn balance at ~1,037K ETH/year



ETH at 18.7% of Bitcoin's Market Cap

Securing \$307.6B in Total Value — growing but still early monetary premium



Total Value Secured



● ETH ● ERC20s ● NFTs

\$307.6B Total TVS

Key Takeaways

Ultra Sound Money thesis intact — but gas activity is the critical variable

01 ETH is **currently mildly inflationary** at +0.83%/year due to historically low gas fees (avg 0.1 Gwei), with burns offsetting only ~1% of issuance over the past 7 days.

02 The **burn mechanism works but requires sustained on-chain activity**. DeFi and ETH transfers dominate burn, yet absolute volumes are negligible at current gas levels.

03 38.9M ETH (32% of supply) is **staked**, creating a significant supply lock. Validators earn ~2.7% APR primarily from protocol issuance, not tips or MEV.

The ultra sound money thesis depends on **on-chain activity recovery**. Low gas is a headwind today — but the mechanism is built for the long game.

